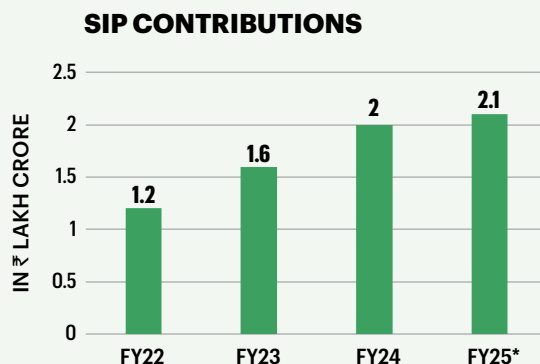
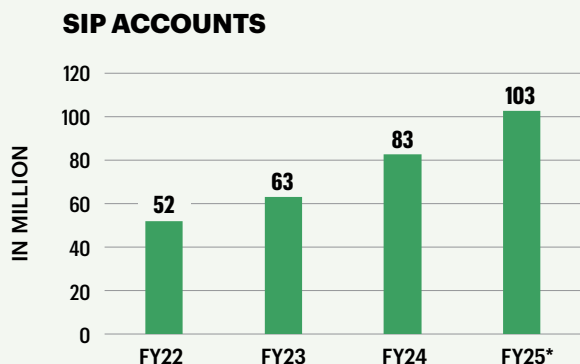


- The assets under management of systematic investment plans (SIPs) have more than doubled since FY22
- Over that same period, SIP accounts, too, have almost doubled, pushing up contributions



*ESTIMATES **SOURCE** AMFI, ECONOMIC SURVEY 2024-25

The flip side of this surge in retail traders has been growing losses in the futures and options segment as newbies, with little or no knowledge of these complex instruments, tried to compete with deep-pocketed institutional investors.

However, there is no stopping intra-day traders from increasing their heft in the market as newer and sophisticated algorithms are now available to take on institutional investors.

The result of these new battles remains to be seen, but this space is set to grow dramatically as new entrants in the stock futures segment keep the game alive.

MFs THE RIGHT CHOICE?

Dalal Street's mega success story has been the nation's warm embrace of monthly systematic investment plans (SIPs) and the rise and rise of equity mutual funds (MFs) over the past four years. This trend will only get stronger as young Indians aggressively seek higher returns, with managed risk, via equity schemes.

The fact that Indian MFs are some of the most regulated financial entities and that they have given stellar, inflation-beating returns consistently have made them the favourite investment vehicles for the expanding middle class keen to get a taste of risk!

Such is the popularity of monthly SIPs that they stood at ₹26,459 crore in December 2024, a 3x rise over December 2020. In fact, it is these rock-solid monthly SIPs that have helped the market navigate and over-

come net sales by foreign institutional investors in all of 2024.

The number of investors opting for getting a piece of action on stock markets is set to rise in the coming years as time deposits offer meagre returns and are unable to beat inflation in the long term. In contrast, despite the fluctuations and volatility in stocks, longer-term compounded returns have been in the high teens in a vast cross-section of equity schemes.

RISK TAKERS

Unlike the generation of 1970s, brought up on the hardships of a controlled economy and fewer investment options, this new class of investors are eager to join the global ranks of those battling equity risk with eyes wide open.

The government has done its bit by creating the world's best digital infrastructure and Indian exchanges are at the cutting edge of the best technology money can buy. Their practices in terms of timely settlement, trade fidelity and regulatory oversight are among the world's best. Add to this a growing economy, thirst for returns and hunger for growth capital—you have an enviable equation in expanding capital markets!

So, tighten your seat belts for what could be the ride of a lifetime. **BT**

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